

INSURANCE AND PENSIONS COMMISSION

**MARKET STATISTICS FOR
LIFE ASSURERS**

FOR THE YEAR ENDED 31 DECEMBER 2009

LIST OF ACRONYMS AND ABBREVIATIONS

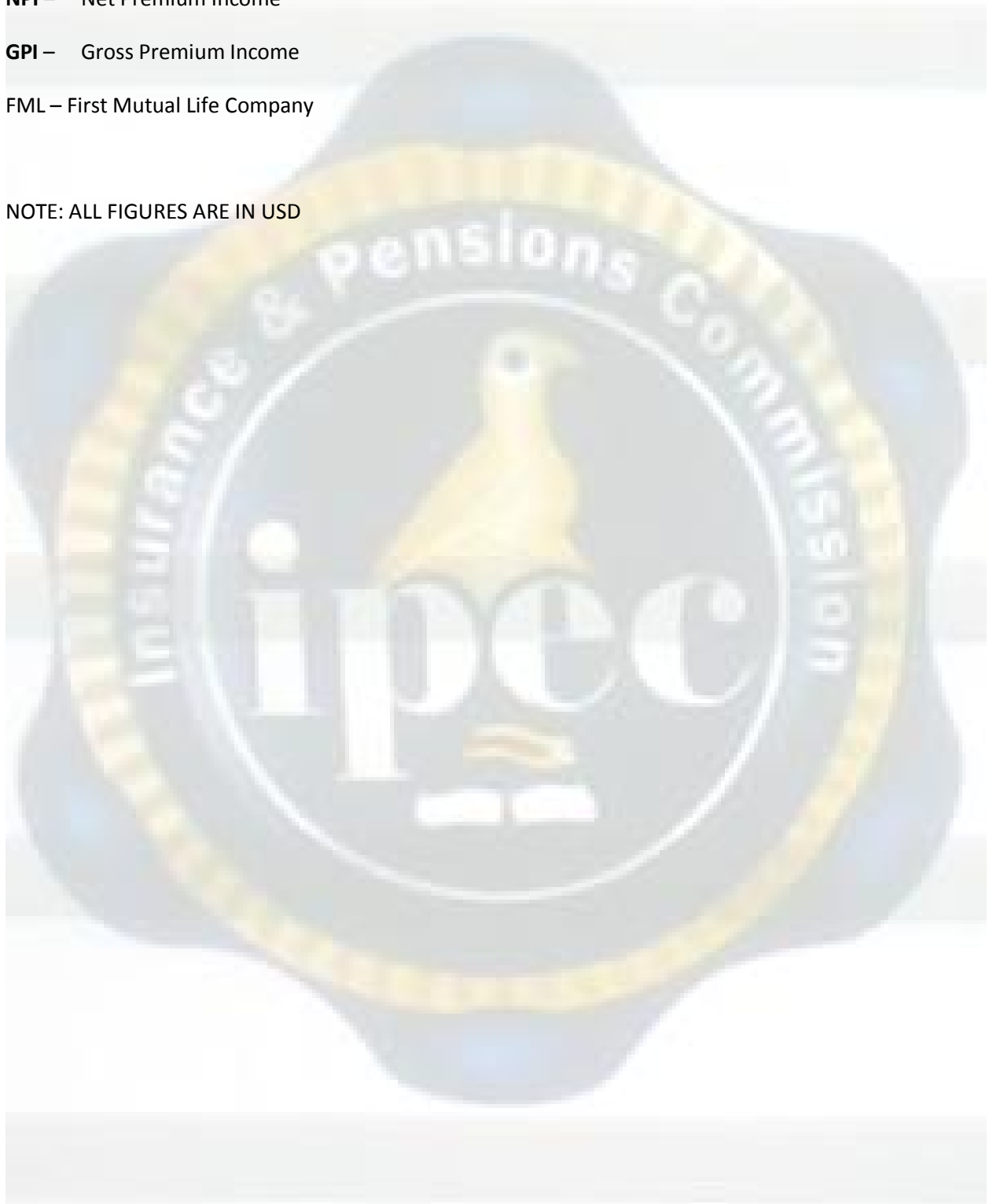
GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

FML – First Mutual Life Company

NOTE: ALL FIGURES ARE IN USD



1.0 OVERVIEW

The Insurance and Pensions Commission had, as at the end of December 2009, ten registered life assurance companies.

Two of them, that is, Universal Life Assurance Company and Paul Mkondo Life Assurance Company, were not conducting any meaningful business.

The introduction of new capital levels in foreign currency in late 2009, through statutory instrument 183 of 2009, resulted in life companies having to raise USD500 000 as capital. Such capital level will no doubt result in some companies failing to meet these requirements and hence being de-registered.

The introduction of the multicurrency regime has had mixed results as far as insurance business is concerned in particular life assurance. Low income levels due to weak macro economic fundamentals reduced demand for life assurance, thus significantly affecting incomes for most life companies.

However dollarization will see confidence returning to the market thereby improving purchasing power of the insuring public.

One hopes the life insurance industry positions itself correctly to take advantage of the potential economic growth brought about by economic and political stability prevailing in the country today.

2.0 TOTAL ASSETS OF LIFE COMPANIES

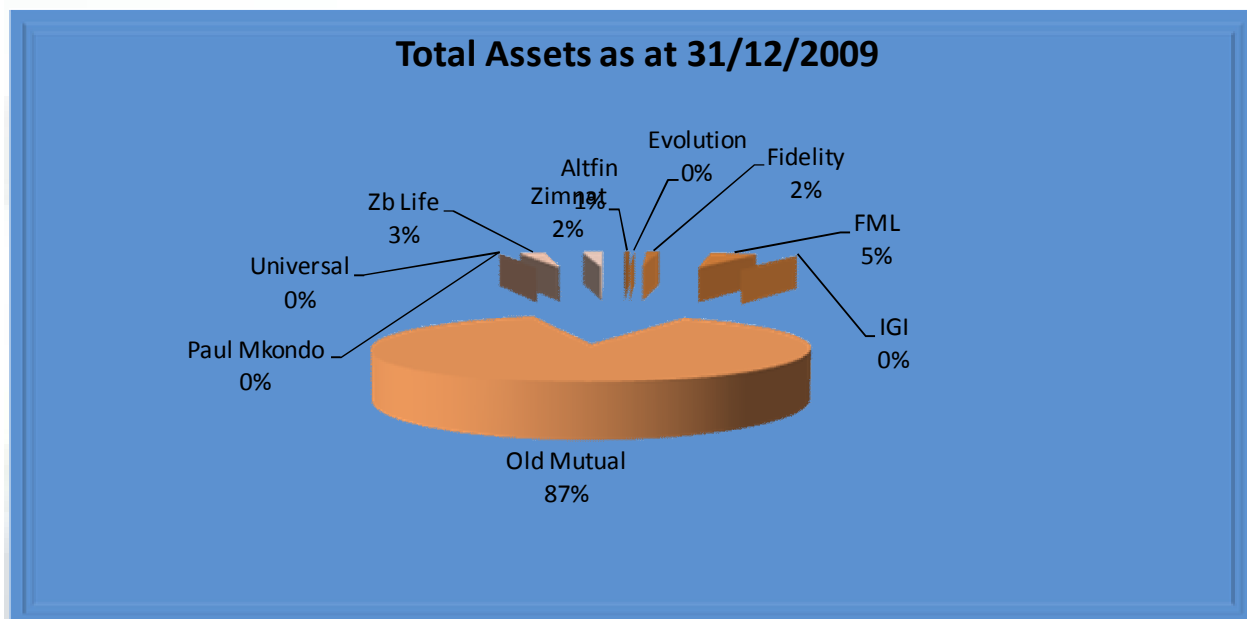


Figure 1.1: Total Assets by Company

2.1 TOTAL ASSETS BY CLASS

	Stock and Shares	Land & Buildings	Cash	Other Assets	Total Assets
Altfin	2,173,099	402,500	478,516	1,266,791.00	4,320,906
Evolution	310,719	0	1,685	357,242.00	669,646
Fidelity	3,392,701	2,885,400	202,708	4,989,045.00	11,469,854
FML	671,888	0	71,592	543,989.00	1,287,469
IGI	49,979	280,000	0	569,730.00	899,709
Old Mutual	365,431,867	79,244,121	8,167,955	267,906,105.00	720,750,048
Paul Mkondo	0	0	0	0.00	0
Universal	0	0	0	0	0
Zb Life	16,963,505	2,769,975	818,380	942,243.00	21,494,103
Zimnat	7,350,658	8,618,000	542,572	997,412.00	17,508,642
TOTAL	433,342,830	296,893,608	10,258,263	20,041,098.00	778,400,377

Table 1.1: Total Assets by Class

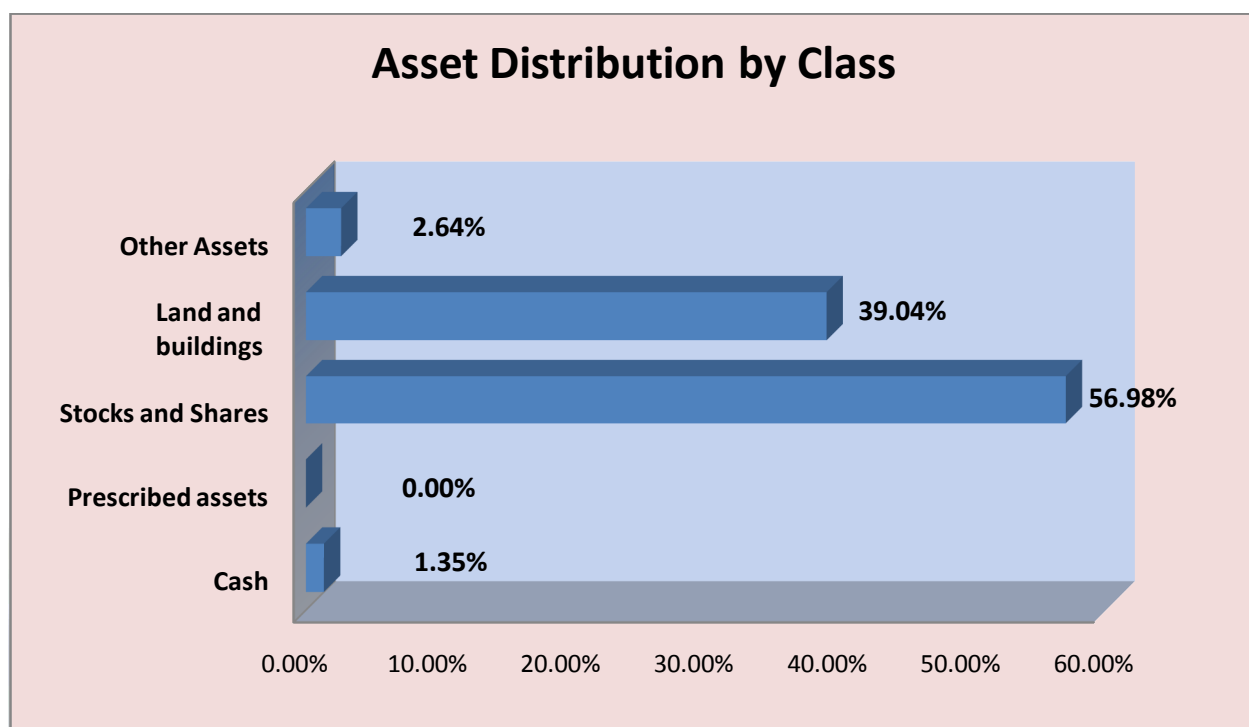


Figure 1.2: Total Assets by Class

Old Mutual owns 87% of the total assets of life companies with FML a distant second. The value of assets is USD 778,400,377. The majority of the assets are in stocks and shares, represented by a 56,98%, followed by land and buildings with a 39,04%.

With neither prescribed assets nor any other secure investment avenues in sight, these two avenues of investment will be dominant for some time. One hopes the two investment avenues will perform for the benefit of both life insurance buyer and shareholders.

By all standards the assets are undervalued principally because of the subdued macroeconomic fundamentals, there has been much activity to talk about both in the market and stock market has not done any better too.

3.0 CAPITAL AND LIABILITIES OF LIFE COMPANIES

	Issued Share Capital	Other Capital*	Actuarial Reserves	Outstanding Claims	Retained Earnings	Other Liabilities	Total
Altfin	152,000	0	0	10,856	(92,256)	4,250,306	4,320,906
Evolution	284,437	25,092	0	0	(34,134)	394,251	669,646
Fidelity	1,202,667	1,089,233	8,123,823	207,194	643,500	203,437	11,469,854
FML	250,001	72,954	104,878	627,685	89,991	141,960	1,287,469
IGI	360,382	0	110,395	-	65,471	363,461	899,709
Old Mutual	77,907,737	0	662,156,859	(471,926)	(27,797,673)	8,955,051	720,750,048
Paul Mkondo	0	0	0	0	0	0	0
Universal	0	0	0	0	0	0	0
Zb Life	250,000	4,750,000	11,760,788	60,967	3,988,060	684,288	21,494,103
Zimnat	500,000	0	10,666,980	663	3,286,781	3,054,218	17,508,642
Total	80,907,224	5,937,279	692,923,723	435,439	(19,850,260)	18,046,972	778,400,377

Table 2.1: Liabilities by Class

*Other Capital includes reserves

4.0 CONTRIBUTION BY COMPANY

	GPW	NPI	% Contribution on GPI	% Contribution on NPI
Altfin	181,734	83,712	0.53%	0.25%
Evolution	19,570	6,313	0.06%	0.02%
Fidelity	1,490,084	1,470,297	4.31%	4.44%
FML	7,882,144	6,921,717	22.80%	20.88%
IGI	276,659	276,659	0.80%	0.83%
Old Mutual	19,318,976	19,261,540	55.89%	58.11%
Paul Mkondo	0	0	0.00%	0.00%
Universal	0	0	0.00%	0.00%
Zb Life	2,578,017	2,565,776	7.46%	7.74%
Zimnat	2,818,271	2,561,008	8.15%	7.73%
Total	34,565,455	33,147,021	100.00%	100.00%

Table 3.1: Contribution by Company

4.1 Reinsurance and Retention

	GPW	Reinsurance	Reinsurance as a % of GPW	Retention as a %
Altfin	181,734	98,022	53.94	46.06
Evolution	19,570	13,257	67.74	32.26
Fidelity	1,490,084	19,787	1.33	98.67
FML	7,882,144	960,427	12.18	87.82
IGI	276,659	0	0.00	100.00
Old Mutual	19,318,976	57,436	0.30	99.70
Paul Mkondo	0	0	0.00	100.00
Universal	0	0	0.00	100.00
Zb Life	2,578,017	12,241	0.47	99.53
Zimnat	2,818,271	257,263	9.13	90.87
Total	34,565,455	1,418,434	4.10	95.90

Table 3.2: Reinsurance and Retention by Company

The average retention was 95.90%. the market is advised to link their retention to the asset base otherwise the low reinsurance levels by life insurance companies could be unsustainable. The Commission is considering ways to enforce a retention policy that protects both the insured and the shareholders.

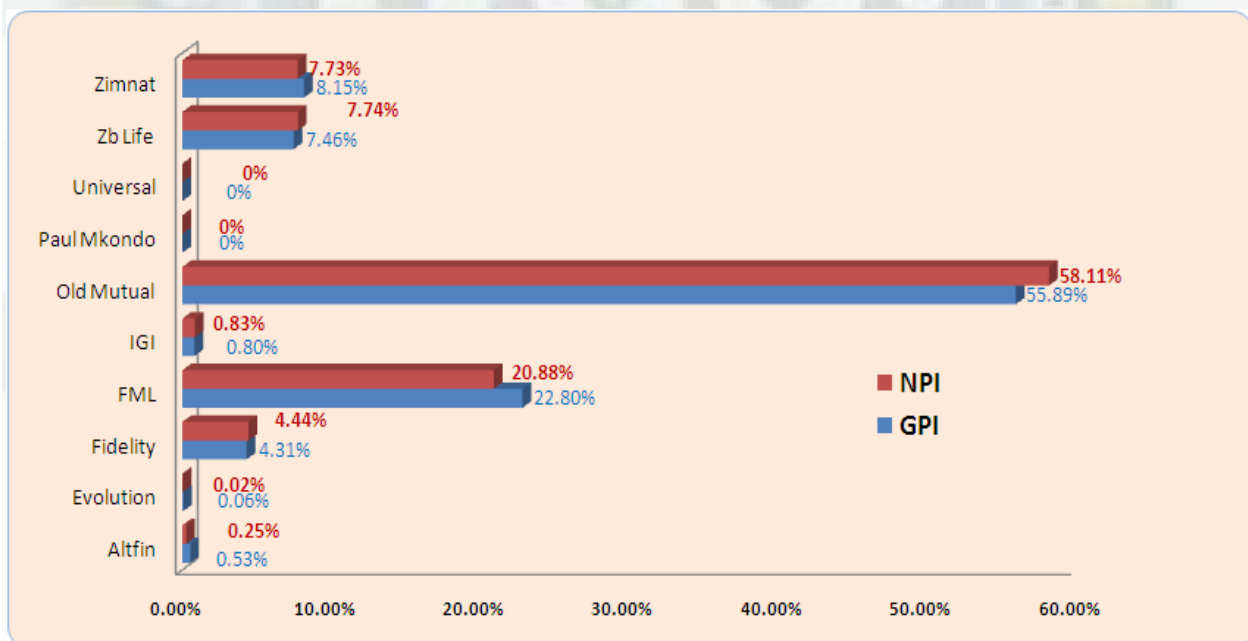


Figure 2.1: Gross Written Premium/ Net Premium Income

The average GPW and NPI is 95,90% which is exceptionally encouraging for industry faced with numerous economic challenges ranging from liquidity to low income levels of the buyers of life insurance. Old Mutual and FML dominate new business with 58,11% of contribution to NPI

5.0 CLAIMS

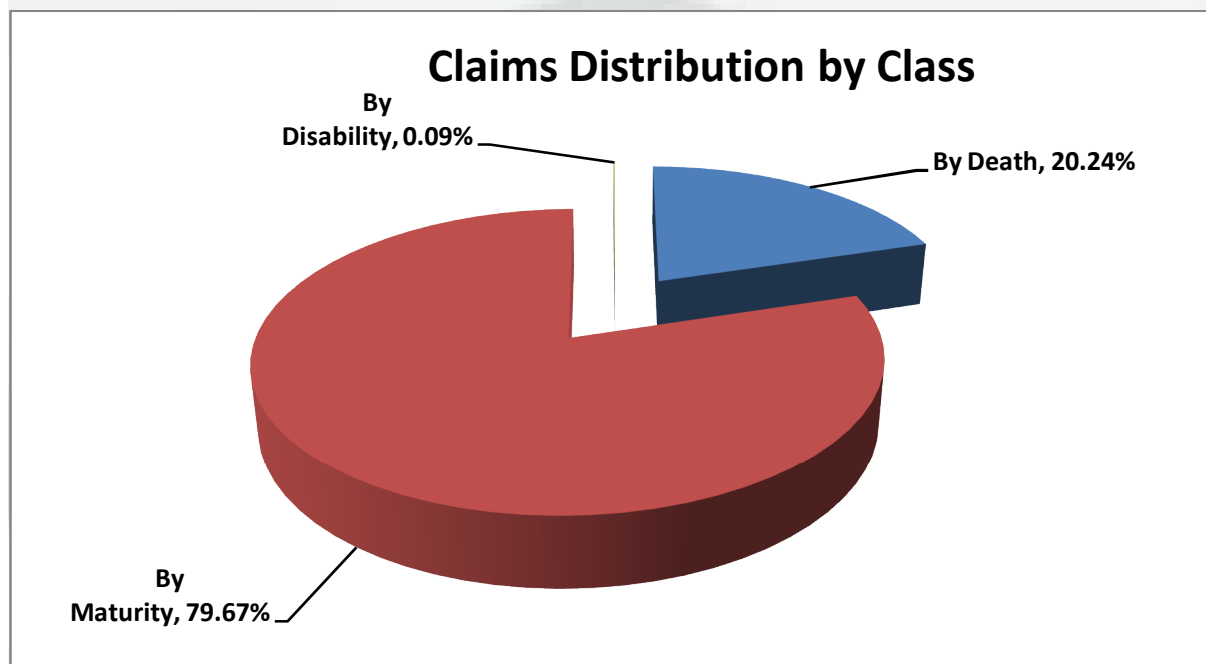


Figure 3.1: Total Claims by Class



Figure 3.2: Total Claims by Company

5.0 NEW BUSINESS

	No. Of Policies		Sum Assured	
	Individual Life	Group Business	Individual Life	Group Business
Altfin	0	0	0	0
Evolution	9	0	16,050	0
Fidelity	12,581	43	5,478,788	0
FML	17,206	5	27,629,667	39,600,000
IGI	842	6	364,138	70,800
Old Mutual	0	47	0	615,661,452
Paul Mkondo	0	0	0	0
Universal	0	0	0	0
Zb Life	636	0	373,276	0
Zimnat	0	654	2,443,193	9,355,511
Total	31,274	755	35,931,836	664,687,763

Table 4.1: Table showing new business